Tarita Petroleum Management System (TPMS)

System Documentation, Part 1: Business and System Definition

Document control	
Organization	Tarita Petroleum Limited
Business type	Oil Marketing Company (OMC), Kenya
Operating model	Wholesale petroleum procurement and sales
Version / status	1.1, Draft — tax and Local/Transit requirements added
Date	October 1, 2026
Next document	Part 2: Detailed Tarita OMC Business Processes

1. Purpose of this document

This document defines the business context, scope, and high-level structure of the Tarita Petroleum Management System (TPMS). It is based strictly on the information provided about Tarita's operations. Activities Tarita has not said it performs are deliberately excluded. Items that still need confirmation are collected in Section 10 so they can be resolved before design starts.

2. Company and business model

Tarita Petroleum Limited is an Oil Marketing Company operating in Kenya. The principal commercial activity relevant to TPMS is **purchasing petroleum products from petroleum importers and suppliers, and selling those products to downstream petroleum retailers and customers**. TPMS is therefore designed around Tarita's role as a wholesale petroleum buyer and seller.



Figure 1. Gulf Energy Limited and Diesel Power Company are the examples provided for the upstream and downstream relationships and are used here for illustration.

Relationship	Direction	TPMS function
Upstream	Supplier to Tarita	Procurement (fuel purchases)
Downstream	Tarita to customer	Wholesale sales

3. System purpose

TPMS gives Tarita a single, reliable record of its wholesale petroleum business, from purchase through to payment. It must let management answer the following questions at any time.

Area	Questions TPMS must answer
Purchasing	What did we purchase, from whom, which product, how much, and at what cost (in original currency and in KES, Including tax)?
Sales	What did we sell, to whom, in what quantity, at what price, and for what total value?
Receivables	What payments have we received, and what does each customer still owe?
Payables	What payments have we made to suppliers, and what does Tarita still owe each supplier?

Area	Questions TPMS must answer
Stock	What is our current product position?
Performance	What profit or margin did we make by product, purchase, or customer?
Operations	What do management and operational reports show for any period?

4. System scope

4.1 In scope

Area	What TPMS records
A. Supplier management	Suppliers and importers from whom Tarita buys petroleum products (for example, Gulf Energy Limited).
B. Product management	Petroleum products traded by Tarita. Initially **PMS** and **AGO**; the design must allow more products to be added later.
C. Fuel procurement	Purchases from suppliers: supplier, product, quantity, purchase price, and total cost.
D. Fuel allocation	Product, allocation period, allocated quantity, supplier or source, lifted quantity, and remaining quantity. EG. (PMS 890 MT, AGO 1,073 MT) show the kind of data to be held. Also, in M^3/ Liters.
E. Product movement	Movements linked to Tarita's purchases and sales, keeping allocated, purchased, received, and sold quantities as separate records. Product movements must also retain the Local/Transit classification where applicable.
F. Wholesale sales	Sales to customers and retailers: customer, product, quantity, selling price, Local/Transit classification, eTIMS VAT tax amount, and total sales value.
G. Customer management	Name, contact information, KRA PIN, billing and delivery information, credit terms, account balance, and transaction history.
H. Invoicing	Invoices generated from wholesale sales.
I. Payments	Payments received from customers, and the resulting outstanding balance on each invoice.
J. Purchase costing	Purchase costs, including foreign-currency invoices, exchange rates, KES equivalents, import tax values, and taxes paid/associated with the specific product entry or receipt.

5. Core business flow

The baseline TPMS flow follows the product and the money from allocation to reconciliation. Purchase costing runs alongside purchase and receipt. Allocation applies where a supplier allocation exists.

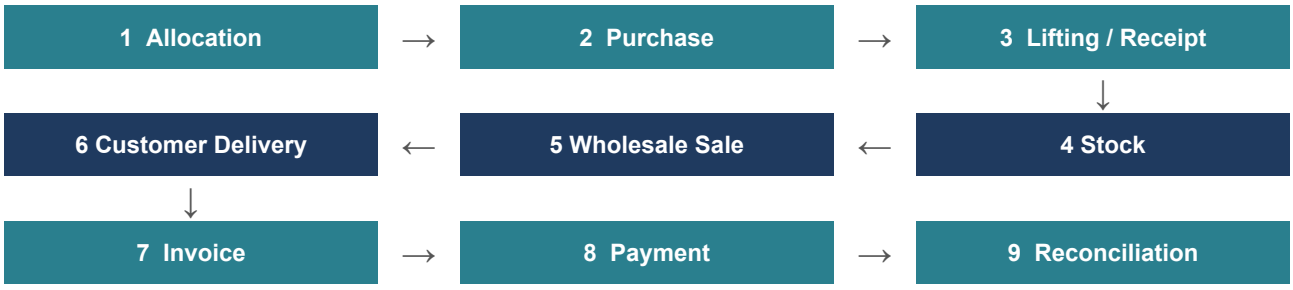


Figure 2. Follow the arrows: left to right on the first row, right to left on the second, left to right on the third. Teal steps mainly concern the supplier side and money; navy steps concern product and delivery.

6. The four quantities TPMS must distinguish

Allocated, purchased, received, and sold quantities are different facts. They must be held in separate fields and never combined into a single "quantity".

Quantity	Meaning	Notes
Allocation	Amount allocated to Tarita for a period.	Example provided: PMS 890 MT, AGO 1,073 MT.
Purchase	Amount Tarita orders or purchases from its supplier.	Linked to supplier and cost.
Receipt / Lifting	Amount actually lifted or received under the transaction.	May differ from the amount purchased.
Sale	Amount Tarita sells to its customer.	Linked to customer, price, and invoice.

> **Design rule:** the gaps between allocation, purchase, receipt, and sale are management information. TPMS must report each quantity on its own and show the differences between them.

7. Currency and purchase costing

Tarita's procurement may be invoiced in **USD**, while its accounting and sales are in **Kenya Shillings (KES)**. TPMS must therefore support foreign-currency purchases and their KES equivalent.

Costing element	Example from information provided
Product	AGO
Quantity	261.64 m^3
Supplier / import source	Recorded per purchase
Invoice currency and value	USD invoice value
Exchange rate	USD/KES rate applied
Invoice value in KES	Converted value
Import tax value	Recorded per purchase

Requirements:

- Preserve both the **original transaction currency amount** and the **converted KES value**.
- Store the exchange rate used on each transaction. Recording the rate's date and source is recommended so figures can be audited.
- Do not restate past transactions when exchange rates change.

8. Tax, Product Entry and Local/Transit Classification

Tax and market classification are core transaction attributes in TPMS. Tax information must remain linked to the specific product entry/receipt or sale to which it relates. Product transactions must also be capable of being classified as Local or Transit where applicable.

8.1 Tax associated with product entry

When petroleum product enters Tarita's records through a purchase, lifting, or receipt, TPMS shall capture the applicable tax paid or associated with that specific product entry. The tax shall not be treated only as a general expense detached from the product transaction.

The product-entry record should be capable of identifying:

• Product

• Quantity and unit
• Supplier/import source
• Purchase or receipt reference
• Invoice value and currency
• Exchange rate and KES equivalent where applicable
• Applicable tax type
• Tax amount paid/associated with the entry
• Tax reference or supporting document where applicable
• Entry/receipt date

8.2 Local and Transit classification

TPMS shall distinguish petroleum product transactions classified as Local from those classified as Transit. This classification shall be available at the appropriate product movement, sales, stock and reporting levels, so that Tarita can separately identify local and transit quantities and values.

The system shall therefore be able to answer:

• How much of each product is classified as Local?
• How much of each product is classified as Transit?
• What quantity and value was sold locally?
• What quantity and value was sold as Transit?
• What tax was associated with the relevant product entry or sale?
• What is the Local/Transit position for reporting purposes?

8.3 Design rule

Local/Transit classification and tax information must remain traceable to the underlying transaction. They must not be maintained only as summary figures on management reports.

8. Transaction and master data structure

Conceptual content of the two core transactions and the main master records. Detailed field definitions will follow in the data design stage.

Purchase / Tax Entry	**Supplier** Product Quantity and unit Local/Transit status where applicable Currency Unit cost and total cost Exchange rate KES equivalent Tax type and tax paid Taxes and charges Reference documents
	Customer Product Quantity Selling price and currency Total value Invoice Delivery / outturn reference Payment status

Master record	Key content
Supplier	Name, contact details, products supplied, purchase history.
Product	PMS, AGO, and any future products; units of measure.
Customer	Name, contacts, KRA PIN, billing and delivery details, credit terms, balance, transaction history.

9. High-level TPMS modules

#	Module	Purpose
1	Dashboard	Management overview of purchases, sales, stock, and receivables.
2	Suppliers	Supplier and importer master data.
3	Products	Product master (PMS, AGO, extensible).
4	Allocations	Allocated, lifted, and remaining quantities by period.
5	Purchases	Supplier purchases, including foreign-currency purchases.
6	Product Movements	Movements linked to purchases and sales, including tax linkage and Local/Transit classification where applicable.
7	Customers	Customer master, credit terms and limits, balances.
8	Wholesale Sales	Sales to retailers and customers.
9	Outturn / Delivery	Delivery and outturn records for sales.
10	Invoicing	Customer invoices from sales.
11	Payments	Payments received and outstanding balances.
12	Pricing	Purchase and selling prices.
13	Costing	Purchase cost build-up and margin.
14	Reports	Operational and management reporting, including Local/Transit stock and sales, tax, receivables and payables.
15	Users and Permissions	Role-based access to modules and actions.
16	Audit Trail	Record of who changed what, and when.

10. Regulatory touchpoints and open questions

10.1 Regulatory touchpoints.

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Area	Why it matters for TPMS
EPRA	Monthly total stock/sales reporting must be capable of separating Local and Transit transactions and products such as PMS and AGO. Local/Transit classification is therefore a core TPMS transaction and stock-reporting attribute.
KRA eTIMS	Keep records of VAT/tax amounts associated with each applicable sale and invoices generated to each customer. Tax information must remain linked to the underlying transaction.
Data Protection Act, 2019	Applies if TPMS holds personal data (for example, customer contacts); ODPC registration may be required.

11. Next step: Part 2, Detailed Business Processes

Part 2 will document each Tarita process separately, using Tarita's own terminology and workflow rather than generic filling-station processes:

1. Fuel allocation
2. Buying fuel from an importer such as Gulf Energy

3. Purchase costing including tax
4. Fuel lifting and receipt
5. Stock management
6. Selling fuel to a retailer such as Diesel Power
7. Customer Outturn.
8. Customer invoicing
9. Customer payment
10. Purchase and sales reconciliation
11. Management reporting

Appendix: Glossary

Term	Meaning
OMC	Oil Marketing Company.
PMS / AGO	Premium Motor Spirit (petrol) / Automotive Gas Oil (diesel).
MT / m^3	Metric tonnes / cubic metres, units used for product quantities.
Allocation	Quantity of product made available to Tarita for a period.
Lifting	Collection of product against a purchase or allocation.
Outturn	Working definition: the quantity confirmed as delivered to the customer (to be confirmed by Tarita).
KES / USD	Kenya Shilling / United States Dollar.
EPRA	Monthly total stock/sales reporting must be capable of separating Local and Transit transactions and products such as PMS and AGO. Local/Transit classification is therefore a core TPMS transaction and stock-reporting attribute.
KRA / eTIMS	Kenya Revenue Authority / Electronic Tax Invoice Management System.
Local	A petroleum transaction classified as local under the applicable Tarita/regulatory treatment.
Transit	A petroleum transaction classified as transit under the applicable Tarita/regulatory treatment.
Product Entry Tax	Tax paid or associated with a specific petroleum product entry, purchase, lifting, or receipt, retained against that transaction.